

The chart pattern is especially effective in bear markets where the performance rank is 8. The failure rate is low, too, with a rank of 7 (not shown, but a rank of 1 means the fewest failures).

One disappointment with this chart pattern is how infrequently the measure rule works. Less than a quarter of the time, price reaches the target (which is the pattern height subtracted from the lowest low price). That can be explained because the pattern is often tall, so expecting a tall decline is often unrealistic.

Let's look under the hood to see what drives this pattern.

Tour

What does a three falling peaks chart pattern look like? I am sure you can conjure up an image of one, but [Figure 61.1](#) shows two examples. The pattern consists of three peaks of equal size and shape, with each succeeding peak lower than the prior one.

Many times, you will find this pattern at the end of an uptrend (peak A1 marks the end), so it acts as a reversal. At other times, it will continue the downtrend like the B1 to B3 peaks show.

Is that all there is to know about identifying three falling peaks? Actually, it is a bit more complicated, so let's discuss finding these patterns.